EUROPEAN COMMISSION

DG Competition

Case M.10149 - KOREAN AIR LINES / ASIANA AIRLINES

Only the English text is available and authentic.

REGULATION (EC) No 139/2004

MERGER PROCEDURE

Decision on the implementation of the commitments - Purchaser approval
Date: 28/11/2024

EUROPEAN COMMISSION

Brussels, 28.11.2024
C(2024) 8599 final

PUBLIC VERSION

In the published version of this decision, some information has been omitted pursuant to Article 17(2) of Council Regulation (EC) No 139/2004 concerning non-disclosure of business secrets and other confidential information. The omissions are shown thus […]. Where possible the information omitted has been replaced by ranges of figures or a general description.

Korean Air Lines Co, Ltd
260 Haneul-gil, Gangseo-gu
Seoul
Republic of Korea

Dear Sir or Madam,

Subject: Case M.10149 – KOREAN AIR LINES / ASIANA AIRLINES
Approval of Air Incheon as purchaser of Asiana's global cargo business following your letter of 14 August 2024 and the Trustee's opinions of 20 September 2024 and 18 November 2024.

1. FACTS AND PROCEDURE

(1) By decision of 13 February 2024 (the '**Decision**') based on Article 8(2) of Council Regulation (EC) No 139/2004,[1] the Commission declared the concentration by which Korean Air Lines Co. Ltd ('**Korean Air**', Republic of Korea, referred to hereinafter as '**South Korea**'), controlled by Hanjin KAL Co., Ltd, acquires within the meaning of Article 3(1)(b) of the Merger Regulation sole control of the whole of Asiana Airlines Inc. ('**Asiana**', South Korea), by way of purchase of shares, compatible with the internal market and with the functioning of the EEA Agreement, subject to compliance with conditions and obligations annexed to the Decision. These commitments are divided into the '**Passenger Commitments**' and

[1] OJ L 24, 29.1.2004, p. 1 (the '**Merger Regulation**'). With effect from 1 December 2009, the Treaty on the Functioning of the European Union ('**TFEU**') has introduced certain changes, such as the replacement of 'Community' by 'Union' and 'common market' by 'internal market'. The terminology of the TFEU will be used throughout this decision.

the '**Cargo Commitments**'.[2] The present decision only covers the Cargo Commitments.

(2) The Cargo Commitments consist of the divestment of the air cargo assets and personnel currently owned and employed by Asiana in the operation of its global cargo freighter activities (the '**Divestment Business**').

(3) *First*, paragraphs 2 and 6 of the Cargo Commitments provide that Korean Air commits to divest, or procure the divestiture of, the Divestment Business, which includes all assets and staff that contribute to the current operation or are necessary to ensure the operation, viability and competitiveness of the Divestment Business as a provider of air cargo services in the hands of a purchaser, in particular: (a) the necessary tangible and intangible assets; (b) the necessary licences, permits and authorisations issued by any governmental organisation for the benefit of the Divestment Business; (c) the necessary contracts, leases, commitments and customer orders of the Divestment Business; (d) the necessary customers, credit and other records of the Divestment Business; and (e) the necessary personnel, including the Key Personnel.

(4) *Second*, paragraph 8 of the Cargo Commitments provides that, in the time between Completion and Divestment Closing, Korean Air also commits to ensure, in coordination with the purchaser and the Hold Separate Manager, that the Divestment Business has suitable office space for its head office, unless agreed otherwise with the purchaser.

(5) *Third*, pursuant to paragraph 9 of the Cargo Commitments, the Divestment Business includes the benefit, for a transitional period, of the current arrangements under which Asiana or its Affiliated Undertakings supply products or services to the Divestment Business. Such services, which include IT support, ground handling support at ICN airport, access to simulators, and access to hangars, shall be offered on […].

(6) *Fourth*, paragraph 10 of the Cargo Commitments provides that the Divestment Business further includes the benefit of a Block Space Agreement ("**BSA**") for a transitional period, if requested by the purchaser and […]. The BSA shall be subject to the approval by the Monitoring Trustee, in consultation with the Commission.

(7) *Fifth*, in accordance with paragraphs 6 and 7 of the Cargo Commitments, the Divestment Business does not include any assets solely related to belly space cargo operations, whereas for assets currently used by Asiana for its global cargo freighter activities which are also used for Asiana's passenger and/or belly space cargo operations and cannot be transferred, including shared licences and shared supplier contracts, Korean Air commits to undertake all best efforts to ensure that the Divestment Business has obtained all such necessary assets before the Divestment Closing.

(8) *Sixth*, pursuant to paragraph 4 of the Schedule to the Cargo Commitments, if there is any asset or personnel which is not explicitly mentioned in the Schedule of the Cargo Commitments but which is both used for Asiana's global cargo business and

[2] Capitalised terms not explicitly defined in this decision are to be understood as defined in the Decision and the Cargo Commitments.

necessary for the continued operation, viability and competitiveness of the Divestment Business as a provider of air cargo services, that asset, personnel or an adequate substitute will be offered to the purchaser.

(9) *Finally*, paragraph 3 of the Cargo Commitments provides that the Transaction shall not be implemented before Korean Air has entered into a Binding Sale and Purchase Agreement for the sale of the Divestment Business and the Commission has approved the purchaser and the terms of sale.

(10) By letter of 14 August 2024, Korean Air proposed Air Incheon Co., Ltd. ('**Air Incheon**', South Korea) for approval by the Commission as the purchaser of the Divestment Business and submitted a copy of the proposed Binding Sale and Purchase Agreement (the '**Master Agreement**') entered into with Air Incheon on 7 August 2024. The Master Agreement was subsequently amended and restated on 15 November 2024. Korean Air also submitted a copy of the Spin-Off and Merger Agreement (the '**SOMA**') and the Transitional Services Agreements (the '**TSAs**') (together with the Master Agreement, the '**Transaction Agreements**'). The SOMA and the TSAs were also amended and annexed in the agreed form to the executed Master Agreement of 15 November 2024, to be executed post-Completion.

(11) In accordance with the Cargo Commitments, and following the Commission's approval, on 26 February 2024, Korean Air appointed Mazars LLP, now Forvis Mazars LLP, (the '**Trustee**') as the Monitoring Trustee for the sale of the Divestment Business.

(12) On 20 September and 18 November 2024, the Trustee submitted its Reasoned Opinion and Supplemental Reasoned Opinion assessing Air Incheon's suitability as a purchaser and indicated that it fulfils the criteria of the purchaser requirements in section D of the Cargo Commitments attached to the Decision. In its assessment, the Trustee also indicated that, on the basis of the Transaction Agreements, the Divestment Business would be sold in a manner consistent with the Cargo Commitments.

2. ASSESSMENT OF THE PROPOSAL

2.1. Legal framework

(13) Pursuant to paragraphs 21-22 of the Cargo Commitments, the Commission shall verify that the purchaser fulfils the Purchaser Criteria, and that the Divestment Business is being sold in a manner consistent with the Cargo Commitments. Paragraph 21 of the Cargo Commitments provides that in order to be approved by the Commission, the Purchaser must fulfil the following criteria:

(a) The purchaser shall be independent of and unconnected to Korean Air and its Affiliated Undertakings (this being assessed having regard to the situation following the divestiture);

(b) The purchaser shall have the financial resources, proven expertise and incentive to maintain and develop the Divestment Business as a viable and active competitive force in competition with the Parties and other competitors;

(c) The purchaser shall be a Korean airline with an existing Air Operator's Certificate ('**AOC**') and a hub at ICN, or a consortium of two or more

parties, at least one of which is a Korean airline with an existing AOC and a hub at ICN;

(d) The acquisition of the Divestment Business by the purchaser must neither be likely to create, in light of the information available to the Commission, *prima facie* competition concerns nor give rise to a risk that the implementation of the Cargo Commitments will be delayed. In particular, the purchaser must reasonably be expected to obtain all necessary approvals from the relevant regulatory authorities for the acquisition of the Divestment Business.

(14) In addition, paragraph 23 of the Cargo Commitments provides that the approval by the Commission of the purchaser and the terms of sale shall be conditional upon the Commission:

(a) […];

(b) […]; and

(c) […].

2.2. Description of the proposed purchaser

(15) Air Incheon is a Korean airline established in 2012 and the only Korean airline entirely dedicated to freighter cargo transport. Air Incheon operates four B737-800SF aircraft on routes across Asia, mainly between South Korea and each of China, Japan, Mongolia, Singapore and Vietnam.

(16) Air Incheon is owned, […] by Socius Co Ltd ('**Socius**').

(17) Air Incheon will pay a purchase price for the Divestment Business of […].

2.3. Purchaser criteria

2.3.1. Independence from the Parties

(18) Pursuant to paragraph 21(a) of the Cargo Commitments, in order to be approved by the Commission, a suitable purchaser must be independent from and unconnected to Korean Air and its affiliated undertakings.

(19) In its Reasoned Opinion of 20 September 2024, paragraphs 389-457, the Trustee reviewed (i) the direct and indirect ownership of Air Incheon, and that of Korean Air in order to identify any ownership links, (ii) any existing or planned joint ventures involving Korean Air and its affiliated undertakings on the one hand, and Air Incheon and its direct and indirect owners on the other, (iii) whether there are any links through shared executive and non-executive directors of Korean Air and its affiliated undertakings on the one hand, and Air Incheon and its direct and indirect owners on the other, and (iv) any existing commercial agreements between Korean Air and its affiliated undertakings on the one hand, and Air Incheon and its direct and indirect owners on the other.

(20) With regard to Air Incheon, the Trustee has not identified any material ownership links to Korean Air, pre- or post-closing of the main Transaction. In addition, the Trustee concludes that there are no mutual investments and no common directorships between Air Incheon and Korean Air. To the extent there are some current or historical agreements with Korean Air (and Asiana), the Trustee

considers them to be short-lived contracts of limited materiality, thus not posing any risk to the independence of Air Incheon as the purchaser of the Divestment Business.

(21) With regard to the direct and indirect owners of Air Incheon, the Trustee identified no cross-shareholdings and no sharing of any executive or non-executive directors with Korean Air. With respect to mutual shareholders, Korean Air disclosed in paragraph 28(b) of its Reasoned Proposal that the National Pension Service holds 7.61% of Korean Air's shares and 9.50% of […] shares based on the 2023 annual business report. As […] is one of the strategic investors in Air Incheon,[3] the Trustee reviewed this link and concluded that the National Pension Services does qualify as a mutual shareholder but without any control rights. The Trustee understands that this is a result of both companies being notable listed companies of interest to institutional investors. The Trustee does not therefore consider this mutual shareholder to impact the independence of either […] or Korean Air. In addition, […], as a large cargo logistics company, may have forwarder contracts with airlines such as Korean Air and/or Asiana. To the extent there are such agreements in place, the Trustee considers them to be of limited materiality and therefore unlikely to give rise to independence concerns.

(22) Furthermore, pursuant to paragraph 21(a) of the Cargo Commitments, the independence of the purchaser is also to be assessed by having regard to the situation following the divestiture. It is therefore also important to consider the links created between Air Incheon and Korean Air and/or Asiana by the Transaction Agreements.

(23) In order to bring about the divestment, the Cargo Commitments foresee the creation of additional commercial links between Air Incheon on the one hand, and Korean Air and/or Asiana on the other. These commercial links are in the form of (i) TSAs for IT support, ground handling support at ICN, access to simulators and access to hangars, and (ii) a BSA if required by Air Incheon, unless and to the extent that a BSA is agreed between Air Incheon and the Passenger Remedy Taker on the relevant Passenger Remedy Route(s).

(24) After reviewing the TSAs and the BSA key terms, the Trustee considers that Air Incheon will be sufficiently independent. In particular with regard to the TSAs, and in light of the fact that services following the […], the Trustee considers that any post-Completion agreements concluded on these terms would be unlikely to result in any dependence of Air Incheon on Korean Air. Moreover, as regards the BSA, and to the extent that any request from Air Incheon would be limited to the four Passenger Remedy Routes, the Trustee considers that it cannot pose any risk to the independence of Air Incheon as the purchaser of the Divestment Business.

(25) On the basis of the information provided by Korean Air and taking into account the Reasoned Opinion of 20 September submitted by the Trustee, the Commission concludes that Air Incheon is independent from, and unconnected to, Korean Air and its affiliated undertakings.

[3] Reasoned Opinion of 20 September 2024, paragraph 17.

2.3.2. Financial resources, proven expertise and incentive to maintain and develop the Divestment Business as a viable and active competitor

(26) Paragraph 21(b) of the Cargo Commitments requires the proposed purchaser to have the financial resources, proven expertise and incentive to maintain and develop the Divestment Business as a viable and active competitive force in competition with the Parties and other competitors. These criteria are considered in turn under the subheadings below.

2.3.2.1. Financial resources

(27) According to the Master Agreement, the purchase price for the Divestment Business shall be […].

(28) The financial investors of Air Incheon have made binding investment commitments for the transaction between Air Incheon and the Divestment Business, of […].[4]

(29) On 8 July 2024, Asiana Airlines' Pilots Union (the '**APU**') submitted a complaint to the Commission with regard to the divestiture, following which a meeting between the APU and the Commission was held on 23 July 2024. On 19 August 2024, the APU made a second submission to the Commission against the sale of Asiana Airlines' cargo division to Air Incheon. The APU's concerns with regard to the financial resources of Air Incheon as the proposed purchaser of the Divestment Business relate to (i) the size of Air Incheon, characterised as a small airline operating short-haul cargo routes with only four aircraft, and (ii) its chronically poor historic financial performance.

(30) In addition, on 14 August 2024, the Commission received a further submission by the Korean Public Service and Transport Workers' Union (the '**KPTU**', and together with the APU, the '**Unions**'), expressing its concerns and opposition to the sale of the cargo division of Asiana Airlines based on similar considerations with regard to Air Incheon's financial performance and size. Moreover, the KPTU expressed concerns about the ageing fleet of the Divestment Business, which would require significant investments.[5] [6]

(31) The Trustee has analysed Air Incheon's historical financial performance and its financial position in order to assess Air Incheon's own capabilities to support the funding of the Divestment Business.[7] Considering (i) the size of Air Incheon compared to the Divestment Business, (ii) the losses and negative cash flows generated by Air Incheon in 2023, and (iii) Air Incheon's current financial position, the Trustee concludes that the investors of the private equity fund play a key role in

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4 Non-confidential version of Air Incheon's submission of 12 November 2024, DG COMP Presentation, page 8.

5 The KPTU's submission of 14 August 2024, point 9.

6 The KPTU also referred to the TSAs between Korean Air and Air Incheon with regard to hangar and ground handling services expressing a concern about "*competitiveness in the cargo sector in the long term*" (the KPTU's submission of 14 August 2024, point 4). As discussed in Section 2.3.1 above, and in light of the fact that such services will only be provided at […], the Commission considers that Air Incheon will be sufficiently independent from, and unconnected to, Korean Air and its affiliated undertakings.

7 Reasoned Opinion of 20 September 2024, paragraphs 123-161.

ensuring sufficient financial resources for the acquisition and development of the Divestment Business.[8]

(32) In that respect, the Trustee, after reviewing each of Air Incheon's investors, considers that those comprise large strategic investors, such as […], and large financial investors, such as […] and […], which have the financial strength to fund the acquisition and development of the Divestment Business.[9] In conjunction with the investment commitments that the investors have already made for the transaction, the Trustee therefore concludes that Air Incheon combined with its investors will have sufficient liquidity and financial resources to maintain and develop the Divestment Business, without the need to recur to any additional financing.[10]

(33) In addition, the Trustee, after reviewing the Divestment Business's viability on a monthly basis, reports that with three months left in this year, which are usually peak months for air freight revenue, the Divestment Business is on track to meet its revenue forecast and achieve positive EBIT for the full year 2024.[11] Therefore, the Divestment Business itself will further strengthen Air Incheon's financial performance and will contribute as such to Air Incheon becoming a significantly larger player on the air cargo market, with additional capacities, route network, strengthened capabilities, *etc*.

(34) In that respect, following the considerations made by the Commission in its own assessment of Air Incheon's cash flows, liquidity and overall financial performance, in conjunction with its smaller size in comparison to the Divestment Business, as well as additional information provided by Air Incheon with regard to its business plan, the Trustee concludes that, in any event, the combined business, *i.e.* Air Incheon combined with the Divestment Business, projects positive cash flows.[12]

(35) Therefore, apart from the sufficient liquidity and financial resources Air Incheon is expected to have via its investors as described in paragraph 32 above, the Divestment Business's strong financial performance is also likely to outweigh Air Incheon's losses and negative cash flows.

(36) Lastly, with regard to KPTU's concerns over the need for fleet renewal, and on the basis of submitted information, […].[13] Therefore, any investments needed for the renewal of the fleet have been taken into consideration. In addition, the Trustee concludes that […].[14]

(37) On the basis of the information provided by Air Incheon and taking into account the Reasoned Opinion and Supplemental Reasoned Opinion of the Trustee, the Commission concludes that Air Incheon combined with its investors have the financial resources to maintain and develop the Divestment Business as a viable and active competitive force in competition with the Parties and other competitors.

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8 Reasoned Opinion of 20 September 2024, paragraph 162 and 174.
9 Reasoned Opinion of 20 September 2024, paragraphs 163-175.
10 Reasoned Opinion of 20 September 2024, paragraphs 109 and 181.
11 Ninth Monthly Trustee Cargo Report to the Commission submitted on 15 November 2024, paragraphs 3 and 73.
12 Supplemental Reasoned Opinion of 18 November 2024, paragraph 25.
13 Non-confidential minutes of a call with Air Incheon, dated 8 November 2024, paragraph 13.
14 Supplemental Reasoned Opinion of 18 November 2024, paragraphs 26-30.

2.3.2.2. Proven expertise

(38) Air Incheon acquired an international air cargo transportation licence issued by MOLIT in May 2012. Air Incheon is the only South Korean airline entirely dedicated to freighter cargo transport. Air Incheon operates four B737-800SF aircraft on routes across Asia, mainly between South Korea and each of China, Japan, Mongolia, Singapore and Vietnam. Since its establishment, Air Incheon has transported a cumulative volume of […] tons. At the end of July 2024, Air Incheon employed approx. […] employees.[15] In the last years, Air Incheon has received several certificates and awards by renowned authorities, including by IATA (IATA Operational Safety Audit program IOSA) and the United Nations (UN-designated cargo airline registration).[16]

(39) Furthermore, Air Incheon's personnel brings significant experience from the airline industry. The senior management and directors of Air Incheon have extensive airline and/or finance experience, while some were holding key positions in Korean Air and/or Asiana in the past. At the same time, many of Air Incheon's pilots and field maintenance personnel are also former employees of Korean Air and/or Asiana, meaning they already have the relevant experience needed to operate the Divestment Business's aircraft types. According to Air Incheon, those individuals are expected to play an essential role in integrating the operations and ensuring day-1 readiness.[17]

(40) The Trustee considers that, as a company dedicated to air cargo transport services with an experienced management team, Air Incheon has extensive relevant expertise relating to the business carried out by the Divestment Business. Following the acquisition, Air Incheon will also be able to leverage the experience of the staff assigned to the Divestment Business and transferring to Air Incheon. In addition, the Trustee notes that Socius, one of the investors that will be involved in managing the operation of Air Incheon post-acquisition of the Divestment Business, also has relevant expertise in the aviation industry, as it was one of the key investors in T'Way Air (formerly Hansung Airlines).[18]

(41) As part of its assessment, the Trustee has also considered the previous M&A activity of Air Incheon and of those investors that will be involved in managing the operation of Air Incheon post-acquisition of the Divestment Business. Given that Air Incheon itself has no direct experience in M&As, the Trustee closely reviewed the experience in business acquisition and integration of those investors that will be involved in managing the operation of Air Incheon post-acquisition of the Divestment Business.[19] According to the Trustee, the examples provided show experience in (i) finding strategic investors when entering into a transaction, (ii) identifying revenue growth or cost reduction potential, (iii) implementing incentive

15 Reasoned Opinion of 20 September 2024, paragraph 186.

16 Non-confidential version of Air Incheon's submission of 12 November 2024, DG COMP Presentation, page 13.

17 Non-confidential version of Air Incheon's submission of 12 November 2024, DG COMP Presentation, pages 10 and 11.

18 Reasoned Opinion of 20 September 2024, paragraphs 182-224.

19 These are Socius and […] as general partners in the private equity fund. General Partners have full management control of the business and unlimited financial liability for their financial obligations. Limited Partners have little or no involvement in management, and their liability is limited to the amount of their investment in the investee. Reasoned Opinion of 20 September 2024, footnote 2 and paragraph 182.

schemes for the management, and (iv) divesting the asset three to five years later. Even though the examples do not provide evidence of experience in a reverse takeover such as the acquisition at hand, the Trustee considers that both Socius and Air Incheon have identified the critical issues for the integration of Air Incheon's existing business and the Divestment Business and will set up appropriate teams to ensure a successful integration and day-1 readiness.[20]

(42) On the basis of the information provided by Air Incheon and taking into account the Trustee's Reasoned Opinion of 20 September 2024, the Commission concludes that Air Incheon and its investors have sufficient expertise to maintain and develop the Divestment Business as a viable and active competitive force in competition with the Parties and other competitors.

2.3.2.3. Incentive

(43) The Commission considers, based on the main financial indicators, that the Divestment Business represents an attractive and profitable investment opportunity for Air Incheon and its investors, which is further corroborated by the positive price that the latter are willing to offer for the acquisition.[21] In addition, given that Air Incheon has already been operating on the market as the only South Korean airline entirely dedicated to freighter cargo transport, the Commission considers that it is likely to continue to have the incentives to operate the combined business, *i.e.* combined with the Divestment Business, as a viable and active competitive force in competition with the Parties and other competitors. According to Air Incheon, "[t]*he merger, including the transfer of traffic rights, enhances Air Incheon's access to a broader range of destinations, enabling the airline to diversify its routes and service offerings* […] *Air Incheon aims to become a successful alternative for its customers when* [Korean Air] *and* [Asiana] *merge*".[22]

(44) In their submissions to the Commission, the Unions expressed their concerns regarding (i) Air Incheon's size and operations as a "*small airline operating short-haul cargo routes with only 4 aircraft*";[23] (ii) Air Incheon's poor financial performance that may pose a risk to future operations and safety or quality standards;[24] (iii) the private equity fund controlling Air Incheon and its exit strategy;[25] and (iv) the ageing fleet of the Divestment Business that would require significant investments.[26]

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20 Reasoned Opinion of 20 September 2024, paragraphs 203-224.

21 This is also in response to point 7 of the KPTU's submission of 14 August 2024.

22 Non-confidential version of Air Incheon's submission of 12 November 2024, DG COMP Presentation, page 17.

23 The APU's complaint submitted on 8 July 2024, and non-confidential minutes of a meeting with the APU, dated 23 July 2024, paragraph 9. Similar observations were made in the KPTU's submission of 14 August 2024, under points 2-3, 7 and 11.

24 The APU's submission of 19 August 2024 against the sale of Asiana Airlines' cargo division to Air Incheon. Similar observations were made in the KPTU's submission of 14 August 2024, under points 3, 5, 7 and 11.

25 The KPTU's submission of 14 August 2024, points 2 and 6. Similar considerations were made by the APU in its complaint submitted on 8 July 2024, in paragraph 9 of the non-confidential minutes of a meeting dated 23 July 2024, and its submission of 19 August 2024 against the sale of Asiana Airlines' cargo division to Air Incheon.

26 The KPTU's submission of 14 August 2024, point 8.

(45) After analysing the strategic rationale and objectives for Air Incheon's acquisition of the Divestment Business, as well as its business plan,[27] the Trustee notes that Air Incheon's aim is to emerge as a global player in the air cargo business. With regard to the Unions' first concern about the current size and operations of Air Incheon, the Trustee notes that, while currently Air Incheon operates only on intra-Asia short-haul routes via its four aircraft, it has been planning […] independently of the transaction. According to the Trustee, through the acquisition of the Divestment Business, Air Incheon can now not only expand into the global network, but also acquire larger-sized aircraft (B747 and B767). The combination of diverse fleet types and global presence would enable Air Incheon to offer a more comprehensive range of air cargo services to its customers.[28]

(46) With regard to the Unions' second concern, the Trustee notes in its Reasoned Opinion of 20 September 2024 that the integration of the Divestment Business may present certain challenges and that, to mitigate those, it is important that the transferring employees with the right level of experience be selected as soon as possible, and that IT integration should advance.[29] In view of the Trustee's Supplemental Reasoned Opinion of 18 November 2024 confirming that the final list of personnel envisaged to transfer has been agreed between Air Incheon, Asiana and Korean Air in line with the approximate figure provided under the Cargo Commitments, and that the minor deviations to the number of personnel within certain categories have been agreed at the request of Air Incheon,[30] the Commission considers that the appropriate employees have now been selected and secured. As regards the IT integration, the Trustee has also informed the Commission that satisfactory progress has been made in a manner that ensures compliance with the Cargo Commitments.[31] Therefore, the Commission considers that the integration planning of the Divestment Business – although complex and demanding – has been sufficiently addressed by the parties.

(47) With regard to the concern made by the Unions regarding Socius's exit strategy, the Commission notes that, on the basis of the information provided by Air Incheon and the Trustee, and as further analysed in Section 2.3.2.1 above, the binding investment commitments that Air Incheon's investors have already made for the transaction would ensure sufficient liquidity and financial resources to maintain and develop the Divestment Business also in the medium to longer term. In addition, according to Air Incheon, "[t]*he maturity of the acquisition financing is […] years from the initial drawdown date, aligning with the fund's duration*".[32]

(48) Finally, regarding the concern made by the KPTU about the required investments on the fleet, the Commission notes that, as further discussed in Section 2.3.2.1 above, Air Incheon has confirmed that […].[33] This further indicates Air Incheon's incentive to continue operating the combined business as a viable and active competitive force on the market.

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27 Reasoned Opinion of 20 September 2024, paragraphs 225-388.

28 Reasoned Opinion of 20 September 2024, paragraphs 227 and 230-231.

29 Reasoned Opinion of 20 September 2024, paragraphs 359 and 367-370.

30 Supplemental Reasoned Opinion of 18 November 2024, table 1.

31 Trustee's response of 15 November 2024 to EC RFI dated 11 November 2024, Question 2.

32 Non-confidential version of Air Incheon's submission of 12 November 2024, DG COMP Presentation, page 9.

33 Non-confidential minutes of a call with Air Incheon, dated 8 November 2024, paragraph 13.

(49) In view of the information provided by Air Incheon and taking into account the Reasoned Opinion and Supplemental Reasoned Opinion of the Trustee, the Commission considers that Air Incheon has a proven incentive to continue investing to maintain and develop the Divestment Business.

2.3.2.4. Conclusion

(50) Following its own assessment and taking into account the information provided by Air Incheon, and the Reasoned Opinion and Supplemental Reasoned Opinion of the Trustee, the Commission concludes that Air Incheon and its investors have the financial resources, proven expertise and incentives to maintain and develop the Divestment Business as a viable and active competitive force in competition with the Parties and other competitors.

2.3.3. Korean airline with an existing AOC and a hub at ICN

(51) Paragraph 21(c) of the Cargo Commitments provides that the purchaser shall be a Korean airline with an existing AOC and a hub at ICN.

(52) Air Incheon has held an AOC issued by MOLIT since […]. In addition, Air Incheon operates as a Korean airline, with ICN airport as its hub since […].[34]

(53) The Trustee has assessed the required amendment to Air Incheon's AOC in view of the acquisition of the Divestment Business and concluded that, […].[35]

(54) On this basis, and in light of the Trustee's Reasoned Opinion of 20 September 2024 and Supplemental Reasoned Opinion of 18 November 2024, the Commission considers that Air Incheon fulfils the purchaser criteria under paragraph 21(c) of the Cargo Commitments.

2.3.4. Absence of prima facie competition problems

(55) Pursuant to paragraph 21(d) of the Cargo Commitments, the acquisition of the Divestment Business by Air Incheon is *prima facie* unlikely to give rise to competition concerns or to a risk that the implementation of the Cargo Commitments will be delayed.

(56) The activities of Air Incheon and the Divestment Business overlap in the supply of air cargo transport services, and in particular by using freighter aircraft only.[36] In that respect, Air Incheon is active in the transportation of air cargo across a network of feeder / short-haul intra-Asian routes, while the Divestment Business is Asiana's existing global air cargo freighter business operating on a number of international short-haul routes in Asia, as well as long-haul routes between South Korea and the United States, the United Kingdom or several countries in the EEA. On the basis of available information, there appear to be no material overlaps or vertical links between the wider activities of Socius and the activities of the Divestment Business.[37]

34 Reasoned Opinion of 20 September 2024, paragraphs 458-461.
35 Supplemental Reasoned Opinion of 18 November 2024, table 1.
36 Reasoned Opinion of 20 September 2024, paragraph 468.
37 Reasoned Opinion of 20 September 2024, paragraph 465.

(57) In line with the Commission's Decision assessing the effects of the Transaction on markets for air cargo transport on a unidirectional basis, from Europe to South Korea and from South Korea to Europe, and given that Air Incheon does not operate air cargo services from, to or within Europe, Air Incheon's acquisition of the Divestment Business would not result in any affected markets in the EEA.

(58) To the extent there are some overlap routes between South Korea and each of China, Japan, Vietnam and Singapore,[38] Air Incheon's acquisition of the Divestment Business might be subject to merger notifications in certain jurisdictions in Asia. However, taking into account (i) the limited size of Air Incheon's existing business, (ii) the likely moderate market shares of Air Incheon under any plausible market definition, and (iii) the presence of Korean Air on all such overlap routes, posing a significant competitive constraint to any other player on the market(s),[39] the Commission considers Air Incheon's acquisition of the Divestment Business to be unlikely to raise competition concerns in any jurisdiction.

(59) On the basis of the reasons described above, the Trustee has not identified any *prima facie* competition concerns raised by Air Incheon's proposed acquisition of the Divestment Business in any market.[40]

(60) The Trustee has also reviewed Korean Air's preliminary assessment for the required merger filings, *i.e.* in South Korea and in Vietnam, as well as the associated timelines for these jurisdictions. Upon reviewing, the Trustee concludes that merger clearance is likely to be obtained in both the South Korean and Vietnamese jurisdictions without any issue and on a timescale that will not lead to a delay to the implementation of the Cargo Commitments, provided that the filings are made according to the parties' planning.[41]

(61) In addition, according to the Trustee, the proposed acquisition of the Divestment Business by Air Incheon will require approval from MOLIT prior to Divestment Closing, under Article 21 of the relevant Aviation Business Act. After reviewing the relevant timeline and statutory processing period for such application, the Trustee therefore concludes that Air Incheon is reasonably expected to obtain all necessary approvals on a timescale that will not delay the implementation of the Cargo Commitments.[42]

(62) In light of the above and the Trustee's Reasoned Opinion of 20 September 2024, the Commission considers that the acquisition of the Divestment Business by Air Incheon is neither likely to create *prima facie* competition concerns, nor to give rise to a risk that the implementation of the Commitments will be delayed.

(63) This *prima facie* assessment is based on the information available for the purpose of this buyer approval and does not prejudge the competition assessment of the acquisition of the Divestment Business by Air Incheon by a competent competition authority under applicable merger control rules.

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38 Reasoned Opinion of 20 September 2024, paragraph 478.
39 Reasoned Opinion of 20 September 2024, paragraph 487.
40 Reasoned Opinion of 20 September 2024, paragraphs 34 and 462 *et seqq*.
41 Reasoned Opinion of 20 September 2024, paragraphs 493-498.
42 Reasoned Opinion of 20 September 2024, paragraph 499 and 505.

2.3.5. Conclusion on the purchaser criteria

(64) In light of the above considerations and taking into account the Reasoned Opinion submitted by the Trustee on 20 September 2024 and the Supplemental Reasoned Opinion submitted on 18 November 2024, the Commission concludes that Air Incheon meets the purchaser criteria set out in paragraph 21 of the Cargo Commitments.

2.4. The Divestment Business is being sold in a manner consistent with the Cargo Commitments

(65) Paragraph 22 of the Cargo Commitments provides that Korean Air must be able to demonstrate to the Commission that the Divestment Business is being sold in a manner consistent with the Commission's Decision and the Cargo Commitments.

(66) The Commission has reviewed the final versions of the Transaction Agreements and considers them to reflect the Parties' obligations set out in the Cargo Commitments.

(67) The Trustee, after reviewing all interim versions to ensure their consistency with the wording of the Cargo Commitments and requesting respective amendments in that regard, considers that all such amendments (or appropriate alternative wording) have been incorporated into the Master Agreement, such that no further amendments are required. In respect of the few requested amendments that have not been incorporated, the Trustee has agreed with the justification provided by Korean Air for not including them.[43]

(68) Pursuant to Article 2(4) of the Master Agreement, Air Incheon will […]. Therefore, the SOMA (listing the assets to transfer in its Appendices) […]. […]. However, any risk of asset degradation during this period is expected to be minimal, in light of (i) the general reference to paragraph 4 of the Schedule to the Cargo Commitments[44] included in the executed Master Agreement, (ii) […], and (iii) the inclusion of additional safeguards […][45] to demonstrate Korean Air's commitment to ensuring the operation of the Divestment Business as a standalone entity.[46]

(69) With regard to the TSAs, which will also be executed post-Completion, the Trustee considers the drafts to be sufficiently complete to secure the provision of the appropriate services on suitable terms, in accordance with the Cargo Commitments. Article 13(13) of the SOMA has been amended to provide that […]. In respect to the latter, Korean Air provided the Trustee with the TSAs calculation standards submitted by Asiana […]. The Trustee considers that these calculations indeed […].[47]

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43 Supplemental Reasoned Opinion of 18 November 2024, table 1.

44 Pursuant to paragraph 4 of the Schedule to the Cargo Commitments, "[i]*f there is any asset or personnel which is not covered by paragraph (2) of this Schedule but which is both used for Asiana's global cargo business and necessary for the continued operation, viability and competitiveness of the Divestment Business as a provider of air cargo services, that asset, personnel or an adequate substitute will be offered to the Purchaser*".

45 For example, Article 7(15) of the Master Agreement provides the following: "*[…]*".

46 Supplemental Reasoned Opinion of 18 November 2024, table 1 and paragraphs 4-9, 230-232.

47 Supplemental Reasoned Opinion of 18 November 2024, table 1.

(70) Moreover, Air Incheon confirmed that it is satisfied with the Master Agreement and the SOMA, as well as with the TSAs, which it considers to be "*sufficiently clear and robust*".[48]

(71) Further to the Transaction Agreements, the Commission also notes that in order for the Divestment Business to be sold in a manner consistent with the Cargo Commitments, it needs to include the assets stipulated in the Schedule to the Cargo Commitments, including (i) tangible assets, (ii) intangible assets, (iii) licences and permits, (iv) contracts and agreements, including with customers, as well as (v) the relevant personnel.

(72) In terms of tangible assets, the Trustee considers that the list is complete to the extent possible at this stage, with appropriate safeguards within the Transaction Agreements to prevent any degradation of assets during the final period of due diligence.[49]

(73) With regard to intangible assets, the Trustee notes that […] slots, […] traffic rights[50] and […] weekly-frequency TSR overflight rights are confirmed to transfer to Air Incheon, in accordance with paragraph 2(b) of the Schedule to the Cargo Commitments. With respect to slots, the Trustee observes that there has been a reduction in […] slots compared to the […] listed in paragraph 2(b) of the Schedule to the Cargo Commitments due to Asiana's discontinuation of the […] route in the ordinary course of business. […], the Trustee considers that Air Incheon will be in a position to apply for the […] slots Asiana returned.[51]

(74) In terms of licences and permits, an exhaustive list is currently included in the SOMA Appendices, which […].[52] As noted in Section 2.3.3 above, an AOC amendment is required, which may – in the worst case – delay some foreign country permits. However, the Trustee notes that the parties have proposed effective mitigation […].[53] Overall, the Trustee is satisfied that there is a clear plan for Air Incheon to obtain the necessary licences and permits. The Trustee will continue to monitor this issue closely to ensure that any delay in the timeline is avoided to the extent possible, and that once purchaser approval is granted, Korean Air will use its best efforts to ensure that the Divestment Business has obtained such licences and permits before Divestment Closing, in accordance with its obligations at paragraph 2(c) of the Schedule to the Cargo Commitments.[54]

(75) With respect to contracts and agreements, the Trustee is overall satisfied that the SOMA Appendices are as complete as possible with respect to the inclusion of contracts and agreements[55] at this stage and that there are sufficient safeguards

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48 Non-confidential minutes of a call with Air Incheon, dated 8 November 2024, paragraphs 4 and 6.

49 Supplemental Reasoned Opinion of 18 November 2024, paragraph 236.

50 […]. Supplemental Reasoned Opinion of 18 November 2024, paragraph 237.

51 Supplemental Reasoned Opinion of 18 November 2024, paragraphs 237-240.

52 Supplemental Reasoned Opinion of 18 November 2024, table 1.

53 Supplemental Reasoned Opinion of 18 November 2024, paragraphs 206-207.

54 Supplemental Reasoned Opinion of 18 November 2024, paragraph 241.

55 In its submission of 19 August 2024 against the sale of Asiana Airlines' cargo division to Air Incheon, the APU expressed the concern that if Air Incheon acquires the Divestment Business, "*there is a possibility that Korean Air's monopoly power will be strengthened as shippers leave Air Incheon and entrust cargo transportation to Korean Air*". In its submission of 14 August 2024, the KPTU makes a similar observation under point 9. However, there is no evidence in the Commission's file supporting such consideration. *First*, pursuant to the Cargo Commitments, the Divestment Business will transfer to Air Incheon together with all Asiana's air cargo customer contracts (including Global

included in the Transaction Agreements to prevent degradation during the final period of due diligence, as well as to prepare for the standalone operation of the Divestment Business.[56] […]. […].[57]

(76) Regarding the transferring personnel, the Trustee has confirmed that the final list of personnel envisaged to transfer has been agreed between Air Incheon, Asiana and Korean Air in line with the approximate figure provided under the Cargo Commitments, and that the minor deviations to the number of personnel within certain categories have been agreed at the request of Air Incheon in order to accommodate its actual needs in light of its current internal organisation and its planned operations post Divestment Closing.[58]

(77) In its complaint submitted on 8 July 2024, the APU indicated that the transferring pilots intend to collectively resign following the divestment to Air Incheon. Taking into account a worst-case scenario where such intentions materialise, the Commission carefully reviewed the Transaction Agreements with a view to ensuring that, post Divestment Closing, Air Incheon would indeed have the necessary pilots to operate the Divestment Business. In this regard, the Commission notes the additional safeguards incorporated in the Transaction Agreements, including Articles 7(9) and 7(15) of the Master Agreement obliging Korean Air "*[...]*".

(78) Furthermore, the Commission notes that Air Incheon considers such likelihood of the pilots resigning to be low. This is because, according to Air Incheon, there are no other airlines in South Korea that will operate the two types of wide-body aircraft that will be transferred as part of the Divestment Business, other than Korean Air and Asiana operating one of the two. Air Incheon further explained that low-cost carriers in South Korea typically operate narrow-body aircraft, while crews would generally like to fly wide-body aircraft. Therefore, Air Incheon believes that it will be an attractive employer post Divestment Closing.[59]

(79) Finally, paragraph 8 of the Cargo Commitments provides that, in the time between Completion and Divestment Closing, Korean Air commits to ensure, in coordination with the purchaser and the Hold Separate Manager, that the Divestment Business has suitable office space for its head office, unless agreed otherwise with the purchaser.

(80) The Trustee notes that Korean Air proposed two locations for the head office space of the Divestment Business. […]. Given Air Incheon's submission, the Trustee considers that Korean Air has fulfilled its obligations under paragraph 8 of the

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Partnership Agreements) existing at the moment of Divestment Closing. *Second*, the Trustee assessed Asiana's submission that […]. In particular, the Trustee notes that Air Incheon confirmed such consideration and explained that most of the international air cargo forwarder contracts of Asiana, including BSAs and Framework Agreements, will be transferred to Air Incheon. The Trustee considers that this aspect is a primarily commercial matter since Asiana has a significant market share and forwarders are likely to need continued access to the Divestment Business's capacity. Overall, upon reviewing the list of contracts to transfer, as well as any obstacles to such transfer, the Trustee has no concerns in respect of the transfer of the freight forwarding contracts (Supplemental Reasoned Opinion of 18 November 2024, paragraphs 211-212).

56 Supplemental Reasoned Opinion of 18 November 2024, paragraph 242.

57 Supplemental Reasoned Opinion of 18 November 2024, table 1.

58 Supplemental Reasoned Opinion of 18 November 2024, table 1 and paragraphs 218-220.

59 Non-confidential minutes of a call with Air Incheon, dated 8 November 2024, paragraph 9.

Cargo Commitments and does not need to undertake additional initiatives unless Air Incheon makes a specific request.[60]

(81) In light of the above considerations and taking into account the Trustee's Reasoned Opinion of 20 September 2024 and Supplemental Reasoned Opinion of 18 November 2024, the Commission concludes that the Divestment Business is being sold in a manner consistent with the Cargo Commitments.

2.5. Additional Conditions pursuant to paragraph 23 of the Cargo Commitments

(82) In its Reasoned Opinion of 20 September 2024, the Trustee confirms[61] […].[62] […][63] […].[64]

(83) On 31 October 2024, Korean Air submitted to the Trustee a memorandum […].[65] […].[66] In this respect, the Commission notes that the transfer of slots, traffic rights and TSR overflight rights are also required under the Passenger Commitments, pursuant to which such assets were already transferred to the Passenger Remedy Taker,[67] thus demonstrating that a procedure is in place to facilitate the transfer of slots, traffic rights and TSR overflight rights. Therefore, based on the information available to it, and in particular the Trustee's Reasoned Opinion and Supplemental Reasoned Opinion, the Commission considers that the requirements set forth in paragraph 23 of the Cargo Commitments have been fulfilled.

3. ADDITIONAL CONSIDERATIONS

(84) On 31 October 2024, the APU informed the Commission that it had filed a motion for preliminary injunction with the Seoul Southern District Court requesting to suspend Asiana's board resolution of 2 November 2023 on the sale of its cargo division (the '**Asiana Board Resolution**').

(85) Based on information provided by the Parties and the Trustee, in its motion, APU seeks confirmation that the Asiana Board Resolution is null and void, on the basis that […].[68] [69]

(86) The Commission considers that any legal action sought by the APU should not prevent the approval of Air Incheon as a suitable purchaser, regardless of its

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60 Supplemental Reasoned Opinion of 18 November 2024, paragraphs 228-229.

61 Reasoned Opinion of 20 September, paragraphs 45 and 701-707.

62 Subject to the approval of Air Incheon as the Purchaser of the Divestment Business by the Commission and the JFTC.

63 Reasoned Opinion of 20 September, paragraphs 46, and 629-631.

64 Email dated 15 November 2024.

65 Document titled 'Transfer of Slots, Traffic Rights and Overflight Rights – Legal basis and timeline' dated 31 October 2024, paragraph 29.

66 Supplemental Reasoned Opinion of 18 November 2024, paragraphs 102-106.

67 As confirmed in the Commission decision of 15 November 2024 in this case, the Passengers Remedy Taker is already operating services on all Passenger Remedy Routes. For at least some of these services, entry of the Passenger Remedy Taker on the routes was made possible due to the transfer of Slots and traffic rights from Korean Air to the Passenger Remedy Taker.

68 With respect to the divestment to Air Incheon in particular, the motion contends that it "*[…].*" The motion also […], please see Sections 2.3.2 and 2.4 above.

69 On 22 November 2024, Asiana informed the Commission that, on that same day, "*the APU's legal application requesting a preliminary injunction to suspend the effect of Asiana's Board resolution taken on 2 November 2023 was dismissed by the Korean court*".

prospects.[70] This is because, *first*, as outlined in Section 2.3 above, Air Incheon meets the purchaser criteria set out in paragraph 21 of the Cargo Commitments, and, *second*, as outlined in Section 2.4 above, the Divestment Business is being sold in a manner consistent with the Cargo Commitments.

(87) In any event, with regard to the grounds of invalidity the APU has brought forward in said motion,[71] the Commission also notes that, even if the Asiana Board Resolution got suspended or nullified, and in the meantime, the main Transaction had been closed, Korean Air could replace the Asiana Board Resolution or take any other measures needed to proceed with the divestment as envisaged.[72] According to Korean Air, once the closing of the main Transaction takes place, Asiana's board (comprising of Korean Air's nominated directors) will still separately approve the closing of the cargo divestment. The Commission further notes in that respect that Korean Air would anyway be obliged to do so in order to comply with its obligations under paragraph 4(b) of the Cargo Commitments providing that "*Korean Air shall be deemed to have complied with this commitment if* […] *the Divestment Closing takes place within […]* ".

4. CONCLUSION

(88) On the basis of the above assessment, the Commission approves Air Incheon as a suitable purchaser for the above-mentioned reasons.

(89) On the basis of the Transaction Agreements, the Commission further concludes that the Divestment Business is being sold in a manner consistent with the Cargo Commitments.

(90) This decision only constitutes approval of the proposed purchaser identified herein and of the Transaction Agreements. This decision does not constitute a confirmation that Korean Air has complied with its Cargo Commitments.

(91) This decision is based on Section D of the Cargo Commitments attached to the Commission Decision of 13 February 2024.

For the Commission

(Signed)
Olivier GUERSENT
Director-General

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70 The Commission expresses no view on the prospects of any potential further legal action on the side of the APU in the future.

71 On 19 November 2024, the APU made a further submission to the Commission raising similar concerns about Board resolutions and the possibility of no Divestment Closing.

72 Korean Air's reply to an RFI on the Cargo Commitments dated 13 November 2024.